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Integrated Cybersecurity, Risk & Compliance Advisory

GUIDE-AML-02

AML Risk Assessment Guide

Conducting a Regulatory-Grade AML Institution-Wide Risk Assessment
TSEC Compliance Insights | AML Series

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1. Why the AML Risk Assessment Is Non-Negotiable

The institution-wide AML risk assessment is the cornerstone of a risk-based AML compliance program. Federal banking regulators, FinCEN, and FATF consistently emphasize that AML controls must be commensurate with the institution's actual risk profile — a risk assessment that is incomplete, superficial, or disconnected from program design is both a compliance deficiency in its own right and evidence that the broader AML program is not risk-based.

Regulatory examination teams assess the quality of the risk assessment as a threshold question: if the risk assessment is inadequate, examiners will question whether the entire program is appropriately calibrated. Deficiencies in the risk assessment are among the most common findings in BSA/AML enforcement actions and Matters Requiring Attention (MRAs).

2. The Three-Dimensional Framework

Consistent with FFIEC BSA/AML Examination Manual guidance, effective AML risk assessments evaluate inherent risk across three dimensions: products and services, customers and entities, and geographies. These three lenses, taken together, provide a comprehensive picture of where the institution is exposed to money laundering and terrorist financing risk.

Dimension 1: Products and Services

Different financial products carry different money laundering risk profiles. Cash-intensive products, international payment products, and products enabling anonymity or rapid fund movement are inherently higher risk. Consider both the volume of activity in each product category and the typologies associated with it.

Product / Service	Typical AML Risk Level	Key Typology Concern
Domestic ACH and check payments	Low to Medium	Fraud, insider schemes
International wire transfers	Medium to High	Layering, cross-border placement, OFAC exposure
Cash transactions (deposits/withdrawals)	Medium to High	Placement, structuring/smurfing
Private banking / high net-worth services	High	Source of wealth, beneficial ownership obfuscation
Money services business products (remittance, currency exchange)	High	Cross-border placement, terrorist financing
Cryptocurrency products (where offered)	High	Layering via exchanges, mixing services
Prepaid debit cards / stored value	Medium to High	Placement, structuring

Dimension 2: Customers and Entities

Customer type is one of the strongest predictors of AML risk. Certain customer categories are inherently higher risk because of the nature of their business, their source of funds, or their potential exposure to corruption or criminal activity. The risk assessment should quantify the institution's exposure in each customer category.

Customer Category	Typical Risk Level	Key Concern
Individual retail customers	Low to Medium (varies)	Depends on occupation, geography, transaction profile

Politically Exposed Persons (PEPs)	High	Bribery, corruption, misappropriation of public funds
Money Services Businesses (MSBs)	High	Used as layering vehicles; regulatory status of the MSB itself
Cash-intensive businesses	High	Commingling of criminal and legitimate cash revenues
Non-profits / NGOs	Medium to High	Terrorist financing if operating in high-risk regions; misuse of charitable funds
Foreign financial institutions (correspondent banking)	Medium to High	Depends on jurisdiction and the foreign bank's own AML program quality
Shell companies / complex legal structures	High	Beneficial ownership obfuscation; layering

Dimension 3: Geographies

Geographic risk encompasses both where the institution operates and where its customers and their counterparties are located. Use FATF's jurisdictional lists, OFAC country programs, State Department corruption indices, and FinCEN geographic targeting orders as inputs to geographic risk ratings.

3. Assessing the Control Environment

Inherent risk scores must be moderated by an honest assessment of the quality and effectiveness of the institution's controls. A strong control environment reduces residual risk; control deficiencies leave inherent risk largely unmitigated. The control environment assessment should consider:

- Customer Identification Program — completeness and quality of identity verification at onboarding
- CDD and EDD quality — adequacy of risk profiling, beneficial ownership collection, and high-risk customer monitoring
- Transaction monitoring — whether rules are calibrated to the risk profile; alert investigation quality; alert-to-SAR conversion rates
- SAR filing quality — whether SARs are filed timely, with high-quality narratives that provide actionable intelligence
- OFAC screening — whether screening covers all required scenarios with appropriate match review processes
- Training — whether training is current, covers relevant typologies, and achieves high completion rates
- Independent testing — whether testing is truly independent, comprehensive, and produces findings that drive improvement

4. From Risk Assessment to Program Calibration

The risk assessment is valuable only if it drives program design. Once you have completed your risk assessment, use the outputs to:

Risk Assessment Output	Program Calibration Action
High inherent risk in international wire transfers	Implement enhanced monitoring rules for large international wires; require source of funds documentation for wires above defined thresholds to high-risk jurisdictions

High prevalence of MSB customers	Implement mandatory EDD for all MSB customers; verify MSB's own regulatory registration; review MSB customers' sub-agent structure
Significant geographic exposure to FATF high-risk jurisdictions	Apply enhanced scrutiny to transactions involving those jurisdictions; update monitoring thresholds for transactions involving high-risk countries
Control weakness: monitoring rule effectiveness is low	Conduct a rule calibration review; update thresholds and add new rules for current typologies; increase sample review rates for high-risk alert categories
Control weakness: CDD documentation quality	Implement mandatory CDD checklist; conduct refresher training for customer-facing staff; increase supervisory review of onboarding files

5. Documentation and Reporting

The risk assessment must be documented. Documentation should include: the methodology used; the scoring criteria for each dimension; the data inputs (e.g., transaction volumes by category, customer counts by type); the inherent risk scores for each dimension and sub-category; the control environment ratings; the residual risk determination; and the recommended program calibration actions. The risk assessment is presented to senior management and the Board, with findings and recommendations for resource allocation and program enhancement.

6. Key Takeaways

- The AML risk assessment is the foundation of the risk-based approach — without it, AML controls cannot be appropriately calibrated
- Evaluate inherent risk across three dimensions: products and services, customers and entities, and geographies
- An honest assessment of the control environment is as important as the inherent risk analysis — control deficiencies determine residual risk
- Risk assessment findings must drive actual program calibration — updating monitoring rules, CDD procedures, and training content
- Document everything: methodology, inputs, scores, findings, and recommendations. The documentation is itself subject to regulatory review

7. The Risk Assessment in Examination Context

Federal banking examiners using the FFIEC BSA/AML Examination Manual assess the institution's risk assessment as an early priority in the examination process. A well-documented, current risk assessment that clearly drives program design is associated with lower examination risk and faster examinations. An absent, outdated, or superficial risk assessment is almost always associated with expanded examination scope and additional findings.

Examiners look for evidence that: the risk assessment was conducted within a reasonable period; it was reviewed and approved by senior management; it considers all three dimensions (products, customers, geographies) with supporting data; it is connected to program design decisions (e.g., monitoring rule calibration, EDD triggers, training content); and it is updated when the institution's risk profile changes.

8. Quantitative vs. Qualitative Risk Assessment Approaches

AML risk assessments can be conducted using quantitative, qualitative, or hybrid approaches. Each has advantages and limitations:

Approach	Description	Advantages	Limitations
Qualitative	Risk factors are assessed using descriptive ratings (Low/Medium/High) based on expert judgment and institutional knowledge	Simpler to conduct; suitable for smaller institutions; does not require extensive data collection	Subjective; may be harder to defend if examiner questions the ratings; difficult to compare consistently across periods
Quantitative	Risk factors are scored numerically using data on transaction volumes, customer counts, and product usage in each risk category	More objective and defensible; supports trend analysis over time; can identify risk concentration not visible in a qualitative assessment	Data-intensive; requires robust data infrastructure; may give false precision if data quality is poor
Hybrid (Most Common)	Qualitative framework for risk factor categorization, supported by quantitative data on volumes and prevalence of each risk category	Combines objectivity of data with practical judgment; most closely aligned with examiner expectations per the FFIEC Examination Manual	Requires both data discipline and expert judgment; more complex to execute than pure qualitative approach

9. Peer Benchmarking and Industry Typologies

One valuable input to the AML risk assessment that organizations often underutilize is peer benchmarking against industry typology data. Sources include:

- FinCEN SAR Activity Reviews: published statistics on SAR filing trends by industry, geography, and transaction type provide benchmarks for what constitutes typical vs. elevated suspicious activity rates
- FinCEN Advisories: alerts about specific money laundering schemes targeting particular industries (e.g., real estate, casinos, MSBs) provide typology intelligence directly applicable to risk assessment
- Egmont Group and FATF Typology Reports: international typology publications provide insight into cross-border schemes and emerging methods
- Industry working groups: sector-specific information sharing groups (e.g., financial services ISACs, AML working groups within industry associations) provide peer intelligence on current threats

Incorporating typology intelligence into the risk assessment — explicitly noting where institutional risk factors overlap with known typologies — significantly strengthens the assessment's credibility with examiners and supports more precise monitoring rule calibration.